NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

DEPARTMENT OF ACCOUNTING

COURSE OUTLINE 2020/21 ACADEMIC YEAR

TAXATION 1 [CAC 4102]

LECTURER: PETER NYASHA MUSHURE (0775 094 227)

COURSE GUIDING PRINCIPLES

1. First and foremost, Taxation is **Law**. There is, therefore, a clear demarcation between correct and wrong. It's either the student knows or does not know the legislative provision. I would rather, the student makes a determined and conscious decision to know.

2. Secondly, Taxation is **Practical**, so the student will mainly be examined on his application of the law in real life situations, as obtaining in industry and commerce. Although practicing past exam questions is essential study, in this module, the student will be examined on his ability to logically apply tax law to **new questions** that he has not encountered before. I encourage students to master the tax principles in past exam questions but never to memorise solutions to the same, nor just regurgitate the tax law provisions without applying them.

3. Lastly, although an inquisitive academic inquiry is part of university learning, the course will lean more on **professional practice**.
To assist our students to excel in professional exams, the module has thus been aligned to ICAZ's CTA course.

COURSE OBJECTIVES

At the end of the course, students should be able to:

1. Demonstrate their knowledge and skills relating to the Zimbabwean tax system with regard the taxation of Employment, Business and Investment Income.

2. Compute the tax liability (as required by ZIMRA, in practice) of:

- Individuals (for employment income, trade and investment income).
- Companies.

3. Understand the tax avoidance and evasion schemes which the complex economy has brought to the fore- Thin capitalization rules.

4. Able to calculate DTR on international transactions so as to avoid tax cascading.

5. Fully explain the nature of capital gains and compute the capital gain tax liability/loss of a taxpayer, taking advantage of any applicable capital gain tax reliefs.

6. Understand the duties of the tax payer (including returns) and the powers vested on the tax authorities, under the administrative sections of the Income Tax Act.

7. Demonstrate an ability to enrich business decisions with tax planning.

8. Appreciate new developments in Zimbabwe's tax system. (e.g. Invoice Mgt System)

N.B. The course is based on the legislation for the tax year ending 31 December 2020 (but knowledge of changes in the 2021 tax year is required).

COURSE CONTENT

1. The Taxation of Business Income

1.1 Gross Income

- Amount- Monetary/nonmonetary, cases
- Received- cases
- Deemed accruals (s10)
- Deemed source (s12)
- Capital vs Revenue, Tests
- Sources of various income streams

1.2 Specific Inclusions in Gross Income

- Annuities 8 (1)(a)
- Lease Premiums 8 (1)((d)
- Lease Improvements 8 (1)((e)
- Concession by Creditors 8(1) k
- Grants and Subsidies 8(1)m
- Exchange Gains (Revenue/Capital; realised/unrealised) 8(2)
- Income received in advance 8(3)
- Recoupment 8(1) j – Damaged asset, transfer of assets between related parties
- Lease Recoupment 8(1) i

1.3 Exemptions- s14 arw Third Schedule

-Revenue receipts/accruals which are tax free.

1.4 Statutory deductions

- 15(2)b- Repairs to business assets
- 15(2)d - Lease Premium
- 15(2)e- Lease Improvements
- 15(2)f- Mining Expenditure
- 15(2)g- Bad Debts
- 15(2)h & 6th Sch- Pension ,Benefit and Retirement Annuity Fund Contributions & NSSA contributions.
- 15(2)i- Arrear Pension Contributions
- 15(2)j- Medical aid contributions & medical expenses
- 15(2)m- Experiments and research -amounts spend on research related to the trade of the tax payer.
- 15(2)n- Research expenditure by third parties (jointly funded)

- 15(2)o- Industrial research.
- 15(2)p- Educational grant, bursary or schorlarship
- 15(2)q- Ex-gratia payments. Voluntary payments to former employees/partners and/or dependants.
- 15(2)r- r1-Donations to Health Institutions
  r2-Donations to Research Institutions
  r3-Donations to Schools
  r5-Donations to the Destitute Homeless Persons' Rehabilitation Fund.
- 15(2)s- Membership Subscriptions
- 15(2)t- Pre production expenses. Prescription period-The "18 months" rule. Expenditure incurred prior to commencement of business in the course of establishing the business. COT V Parkwell House Pvt Ltd.
- 15(2)o- Opening Stock
- 15(2)v- Donated/ Inherited stock-Trading stock acquired other than in the ordinary course of trade.
- 15(2)w- Conventions & Trade Missions
- 15(2)aa- HC Legal costs
- 15(2)bb- SC Legal costs
- 15(2)jj- Approved employee share scheme
- 15(2)gg- Export development expenditure
- 15(3)- Business Assessed loss. Conditions for carrying forward. Hodgson and Myburgh, Sadler & co; Knightbridge Salon.
- Suspensive sales & Hire Purchase transactions [section 17]
- Installment sale agreement/Credit sales [section 18]

1.5 Capital Allowances [15(2)c and 4th Schedule

- Definition of qualifying assets- para 1
  Cases: Processing Enterprises, Jamieson Diesel Services, Bottom Armature Winding, F R Evans Rhodesia, Dragon Films, Hersamer & Cape Lime Co.
- Special Initial Allowance [SIA-para 2]
- Wear & Tear Allowance [para 3]
- Recoupment computation
- Scrapping Allowance [para 4]
- Computation of Capital Allowance Schedules
- Computation of Income Tax Values [ITVs]

1.6 Prohibited Deductions

Thin Capitalisation Provisions: Interest and Management Fees
Leasing of PMV, etc.

1.8 General Deduction Formula

- Normal Business expenses-The General Deduction Formula (GDF-section 15(2)(a),
- Importance of relating case law to the intention of the legislature in practical situations of business expenditure.
- A thorough understanding of GDF is required.

1.9 Suspensive Sales (HP) and Credit Sales s17 and s18

1.10 Framework for tax computations

- ✓ where Fin Stats have not been prepared.
- ✓ where Fin Stats have been prepared.
- ✓ The various corporate tax rates.

1.11 QPDs

✓ Computation & due dates
✓ Tax Returns (Actual ZIMRA Forms & Due dates)

1.12 E-platform

- ✓ E-platform. Practical understanding of same.
- ✓ Penalties, Fees & Interest (Difference btwn penalty & fee)

2. The taxation of Employment Income

- What constitutes Employment Income?
- 8(1)b - Remuneration for services rendered
- Retrenchment Package
- 8(1)f- Fringe benefits [In general, for civil servant, employees of licensed investors)
- 8(1)n- Commutation receipts from a RAF
- 8(1)r- Commutation receipts from a Pension Fund (CRF)
- 8(1)c- Pension refunds/LSP
- Exemptions
- Statutory Deductions on for individuals
- Prohibited deductions
- Framework for calculating Taxable Income from employment
- Use of PAYE tables-2 tax years for 2020 on employment income
- Tax Credits
- Finance Act s4(2)- salary paid partly in Forex
- Responsibility of employer
- Returns- 2 tax years

3. Capital Gains Act

- Scope- Definition of Specified asset, Source: actual only, Zimbabwe.
- Gross capital amounts [section 8(1) a.
- Interpretation of terms relating to CGT S8 (1) (a) to (c) and S8 (2)(a) - (f).
- Deemed accruals [s9]
- Exemptions [s10]
- Deductions [s11(2)a, b, d, e, & h + s13.
    - ✓ Capital Gains Tax Reliefs- The use of exemptions and relief in deferring and minimising tax liabilities arising on the disposal of specified assets for capital gains purposes :
    - ✓ s13,- Damaged asset
    - ✓ s21-Rollover relief
    - ✓ s22- Reinvestment Relief
    - ✓ s18- Allowance on Credit sales
    - ✓ s15/16- Sale of specified assets between related parties
    - ✓ s17-relief to sole trader on incorporation
- Disposal of "Principal Private Residency" [s21(1)a, b & c.
- Roll over Relief [s21(2) & 3.
- Sales under Suspensive conditions [s 18]
- Substitution of business property [s22]

4. Partnerships

- Residence of partnership
- S10(2) Taxation of partnership
- Treatment of expenditures of a partnership
- Tax issues on Change in Partnership: Admission, Resignation, Retirement, Death and Changes in Profit sharing ratios.
- Tax treatment of Partnership Assets used by partners

- Assets owned by individual partner but used by partnership.

5. Administrative Sections

- Time limits for the submission of information, returns (S37 of the ITA.), claims and payment of tax including payment on account.
- Estimated assessments S45
- Additional tax in the event of default or omission S46
- Additional assessments S47 Offences: tax avoidance and evasion S81 to 86. Duties of a Public officer regards tax.

(a) Prescribed Reading:

1. "Tax Principles in Zimbabwe", 2020 tax year, 2021 edition. Marvelous Tapera.

(b) Recommended Reading

1. Tax Law & Practice in Zimbabwe", Sabelo Nare, 11th Edition 2020
2. ACCA Paper F6 Zimbabwe (Edition for the June and December 2021 exams)
3. The 2021 Budget Statement by the Minister of Finance on 26 November 2020, analyses of the same and subsequent Finance Act(s).
4. ZIMRA website [zimra.co.zw]
5. ZIMRA's up to date Departmental Notes and All Taxation Acts as at 31 December 2020.
6. The ICAZ Handbook (2021):

   6.1 Income Tax Act Chapter 23.06
   6.2 The Finance Act Chapter 23.04
   6.3 The Value Added Tax Act Chapter 23.12
   6.4 The Capital Gains Tax Act Chapter 23.01
   6.5 Estate Duty Act Chapter 23.03

Assessment of Students

Coursework [at least 3 compulsory tests, Quizes, Assignments & presentations]	30
Final Exam	70
Total	100

Online Tests-Tentatively:

	Date	**Time**	**Topics**
Test 1	20 February 2021	1430-1500	Business Income- all sections
Test 2	27 February 2021	1430-1500	Employment Income- all sections
Test 3	6 March 2021	1430-1500	CGT & Partnership- all sections